DRAFT FOR CONSULTATION

Financial Markets Conduct (Preventing Payment Scams) Amendment Bill

Member's Bill

Explanatory note

General policy statement

This Bill would make New Zealand's financial system a safer place for consumers by addressing payment scams. Even though the New Zealand Banking Association Code of Banking Practice includes five commitments intended to reduce fraudulent transactions — like pre-transaction warnings, check of payee systems, and improved reporting on scams — these are all focused on the responsibilities of a sending bank and do not apply to receiving banks or financial service providers.

Receiving banks, who can receive stolen funds, and who may inadvertently play a central role in money laundering operations, are not currently required to filter incoming payments for suspicious activity. Such a limitation significantly diminishes the efficacy of scam prevention.

Financial service providers handling large sums of money on behalf of consumers are not verified by banks as legitimately able to carry out such transactions, leaving impersonators able to carry out fraudulent transactions undetected.

To address these shortcomings, the Bill proposes amending the Financial Markets Conduct Act 2013 to introduce a duty to protect consumers from payment scams. This change meets the aims of the Anti-Money Laundering and Countering Financing of Terrorism Act 2009, combatting organised crime, and is founded on international best practice. By making receiving banks as accountable as sending banks for identifying and combating fraud, and extending duties of care for financial service providers, the Bill intends to provide a better and more equitable system for keeping New Zealanders safe from payment scams.

Equally, all institutions involved in reducing financial fraud will be held accountable for timeliness response to alerts.

Clause by clause analysis

Clause 1 is the Title clause.

Clause 2 is the commencement clause and provides that the Bill comes into force on the day after Royal assent.

Clause 3 provides that the Bill amends the Financial Markets Conduct Act 2013.

Clause 4 places a new duty on financial institutions to protect consumers from payment scams and lists some methods of compliance with this duty. It also provides for how loss resulting from payment scams will be attributed.

Clause 5 inserts new definitions for the purposes of subpart 6A of Part 6.

Clause 6 provides for regulations to be made regarding the new obligations imposed under *clause 4*.

Dr David Wilson

Financial Markets Conduct (Preventing Payment Scams) Amendment Bill

Member's Bill

Contents

		Page
1	Title	1
2	Commencement	1
3	Principal Act	1
4	New section 446JA and 446JB and cross–heading inserted	2
	Duty to protect consumers from payment scams	
	446JA Duty to protect consumers from payment scams	2
	446JB Responsibility for losses arising from payment scams	3
5	Section 446P amended (Other definitions used in subpart)	4
6	Section 546 amended (Regulations for purposes of Part 6 (market services))	4

The Parliament of New Zealand enacts as follows:

1 Title

This Act is the Financial Markets Conduct (Preventing Payment Scams) Amendment Act **2025**.

2 Commencement

This Act comes into force on the day after Royal assent.

3 Principal Act

This Act amends the Financial Markets Conduct Act 2013.

OC 28298 v 1.5: 5 November 2025: 11:45 a.m.

4 New section 446JA and 446JB and cross–heading inserted

After section 446J, insert:

Duty to protect consumers from payment scams

446JA Duty to protect consumers from payment scams

(1) Every financial institution must take all reasonable steps to protect consumers from payment scams.

(2) The requirement to protect consumers includes all of the following:

(a) ensuring a confirmation of payee system is operational:

(b) ensuring an identity verification process that meets the requirements of the Anti-Money Laundering and Countering Financing of Terrorism Act 2009 is operational:

(c) educating consumers about the risk of payment scams:

(d) ensuring staff have the requisite knowledge, expertise, and training to identify and warn consumers about the risk of payment scams:

(e) identifying vulnerable consumers and taking appropriate precautions to mitigate those consumers' heightened vulnerability to payment scams:

(f) providing advice and assistance to consumers who believe they have been subject to a payment scam, including ensuring that such advice and assistance is easily accessible at any time of day:

(g) implementing and continually improving systems that align with international best practice standards to detect and warn consumers where there is evidence of particular payment scams occurring within New Zealand:

(h) implementing systems to monitor consumer activities to ensure that the financial institution—

(i) is not being used by its consumers to carry out payment scams, fraud, money laundering, or financing of terrorism:

(ii) is able to detect and prevent its consumers from becoming victims of payment scams:

(i) where an account has been identified as being used for the purpose of conducting a payment scam, sharing relevant information with other financial institutions and government authorities to assist in preventing further payment scams from occurring:

(j) taking urgent action, including freezing relevant consumer accounts if any of the following activities have been identified in respect of that account:

(i) signs of unusual account activity:

(ii) transactions that appear beyond the known financial means of the account holder:

(iii) high risk payments from new accounts:

(k) where suspected scam activity has occurred or is likely to occur, providing all relevant information relating to the activity to the consumer or the New Zealand Police, as applicable:

(l) complying with additional security measures prescribed by regulations in respect of large retail payments.

(3) The financial institution must comply with that duty in the prescribed manner (if any).

(4) For the purpose of this section, **large retail payment** has the meaning prescribed by regulations.

(5) For the avoidance of doubt, this section applies to both sending and receiving financial institutions.

446JB Responsibility for losses arising from payment scams

(1) If a consumer of a financial institution is subject to a payment scam, and has suffered loss as a result, every financial institution must comply with the following general principles in respect of attributing liability for those losses:

(a) where a financial institution has failed in their duty to take reasonable steps to protect their customers from payment scams, the starting position is that any loss arising from a payment scam must not be attributed to the consumer:

(b) regulations made under **section 546(1)(oec)** may specify circumstances where a consumer may be liable for losses incurred in respect of a payment scam, including where the consumer has—

(i) acted fraudulently:

(ii) acted with gross negligence:

(iii) unreasonably failed to follow any instructions or advice the financial institution issued to the consumer personally relating to the payment scam:

(iv) unreasonably delayed in reporting the payment scam and as a result the financial institution has been unable to mitigate the losses.

(2) Every financial institution must comply with the regulations made under **section 546(1)(oec)** (which relate to the attribution of loses from payment scams).

(3) For the avoidance of doubt, this section applies to both sending and receiving financial institutions.

5 Section 446P amended (Other definitions used in subpart)

(1) In section 446P(1), insert the following definitions in the correct alphabetical order:

payment scam, in respect of a financial service that is a retail service, means a payment transaction undertaken in respect of a consumer as a result of the consumer being the victim of deception (as that term is defined in section 240(2) of the Crimes Act 1961)

(2) After section 446P(3), insert:

(4) For the purposes of the definition of **payment scam** in subsection (1), it is irrelevant whether the payment transaction was authorised by the consumer.

6 Section 546 amended (Regulations for purposes of Part 6 (market services))

After section 546(1)(oe), insert:

(oea) prescribing requirements for the purposes of **section 446JA**:

(oeb) prescribing requirements additional to the requirements in **section 446JA** that apply to large retail payments:

(oec) prescribing matters for the purposes of **section 446JB**, such as:

(i) the circumstances in which, and the method by which, a consumer will be liable for loss resulting from a payment scam:

(ii) the circumstances in which, and the method by which, a financial institution will be liable for loss resulting from a payment scam:

(iii) the circumstances in which, and the methods by which, a financial institution must reimburse a consumer for loss resulting from a payment scam: